

VANS Electroengineerings Limited

Railway traction switchgear: vacuum circuit breakers and vacuum interrupters

PRICE BAND ₹112-118 Post-issue mcap ₹128.38 Cr	ISSUE SIZE ₹33.98 Cr 100% fresh issue	FY26 REVENUE ₹22.84 Cr +68.4% YoY	FY26 PAT ₹5.39 Cr 23.6% margin
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POST-ISSUE P/E 23.8x On FY26 EPS of ₹4.96	ORDER BOOK ₹50.62 Cr 2.2x FY26 revenue	3-YR OPERATING CASH -₹0.35 Cr vs ₹9.73 Cr EBITDA	PROMOTER HOLDING 66.7% Post-issue, incl. group
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Issue dates	Anchor Sep 28 Open Sep 29 Close Oct 1 Listing (tentative) Oct 7, 2026
Lead manager / registrar	Hem Securities Ltd Bigshare Services Pvt Ltd
Source	RHP dated September 23, 2026 (page references in text); figures in ₹ Cr unless stated

Investment summary

VANS Electroengineerings, incorporated in February 2022 and based in Salem, assembles and tests 25 kV single-pole and double-pole vacuum circuit breakers (VCBs) and vacuum interrupters (VIs) used at railway traction substations and sectioning posts. It holds RDSO / CORE approved-vendor status on all four core products and sells mainly through railway EPC contractors. Revenue grew 8.8x in two years to ₹22.84 Cr in FY26, with a 31.6% EBITDA margin.

The approvals and the ₹50.62 Cr order book are real positives. The weaker side sits beneath the headline numbers: operating cash flow has not followed profit, half of raw-material purchases come from promoter-linked firms, one customer contributes 43% of revenue, and promoters sold ₹8.69 Cr of shares privately just before the RHP. At 23.8x post-issue FY26 earnings, the price assumes the FY26 margin and a sharp FY27 revenue step-up both hold.

What works - Approved-vendor status for all four core SKUs (RDSO / CORE); metro and CLW approvals added - Order book ₹50.62 Cr, 2.2x FY26 revenue, auditor-certified - Double-pole VCBs are needed for 2x25 kV traction upgrades - Top-1 customer share falling: 77% to 61% to 43% - Low debt (D/E 0.28x), no contingent liabilities, clean issuer litigation	What needs watching - Operating cash flow -₹0.35 Cr over three years vs ₹9.73 Cr EBITDA ~50% of FY26 raw material from promoter-linked suppliers; no non-compete ₹8.69 Cr of promoter share sales in the 12 weeks before the RHP - Top customer 43%, top 10 at 81%; names not disclosed - Board, CFO and CS all appointed June 2026; key-man dependence on the Chairman
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Company snapshot

Item	Detail
Business	Assembly and testing of 25 kV VCBs and VIs for railway traction; OHE and connectors added in FY26
Plant	Single rented facility, SIDCO Women's Industrial Estate, Salem; 1,800 units single-shift capacity

Item	Detail
Customers	Railway EPC contractors (93%) and Indian Railways direct (7%); all domestic
People	33 employees (Aug-2026); 1 in product development
Promoters	Balakrishnan Srinivasan, Abhishek Saraff, Nitin Jain, Hotspot Infodot (Bansal family), Viraj Bansal, Pooja Bansal
Key approvals	RDSO: DP VCB, DP VI (2024), SP VCB (2026); CORE: SP VI (2024); MMRDA; CLW (development)
Subsidiary	Infowin Electric Pvt Ltd (67%), MV switchgear, pre-revenue

Source: RHP pp. 21, 115-126, 145-147, 165-167.

Part 1

Business & industry

1. Industry & opportunity

VANS makes single-pole and double-pole 25 kV vacuum circuit breakers and vacuum interrupters used at traction substations (double pole, required for the 2x25 kV auto-transformer feeding system), sectioning posts and sub-sectioning posts (single pole). From FY26 it also sells overhead equipment (OHE) and braided flexible connectors. Products go mainly to railway EPC contractors (93.3% of FY26 revenue) and a small share directly to Indian Railways (6.7%).

Source: RHP pp. 21, 115, 119-121.

Market datapoint cited in RHP	Figure	Source cited	Comment
Indian Railways capex, Union Budget 2026-27	₹2,93,030 Cr (record)	IBEF	Supportive macro
Broad-gauge network electrified (Mar-2025)	68,701 km of 69,512 km = 98.83%	PIB	Greenfield electrification largely done
1x25 kV to 2x25 kV upgrades sanctioned	₹318 Cr (Duvvada-Vizianagaram) + ₹259 Cr (Raichur-Guntakal)	PIB	Relevant to double-pole VCB demand
VCB / VI market size or CAGR	Not disclosed	No industry report commissioned	Gap

Source: RHP pp. 100-114, 118-119. The industry chapter draws on IBEF, IMF, PIB and RDSO web pages; no product-level TAM, competitor share or pricing data is provided.

Reality check on demand

The RHP's own industry data shows 98.83% of the broad-gauge network was already electrified by March 2025. New route electrification, the traditional demand driver for traction substation switchgear, is therefore close to exhaustion. Forward demand has to come from 1x25 kV to 2x25 kV upgrades, dedicated freight corridors, metro systems and replacement cycles. That is a real but narrower pool than "network-wide electrification" suggests (p. 119), and the RHP does not size it.

2. Competitive moat - verifiable vs generic

Claimed moat	Status	Evidence	Our read
RDSO / CORE approved vendor	Verifiable	Approved vendor: DP VCB and DP VI (RDSO, Mar-2024), SP VI (CORE, Nov-2024), SP VCB (RDSO, Mar-2026). Next quality audits Dec-2026 / Feb-2027	Real entry ticket, but not exclusive. VANS itself moved from incorporation to approved vendor in about 25 months
Single-bottle VCB for locomotives	Early stage	CLW development approval Jun-2025; inspection letter May-2026	No revenue yet

Claimed moat	Status	Evidence	Our read
In-house engineering and testing	Partly verifiable	Gross block only ₹0.69 Cr; sanctioned power 10 kW + 25 kVA DG; 1 product-development employee; job work ₹0.19 Cr	Assembly-and-test model, not deep manufacturing
KERI (Korea) / CPRI testing	Claimed	Foreign-currency expenditure reported as nil in all three years	Who paid for KERI tests is not explained
Patents / IP	None	One device trademark (class 9). No patents	No IP moat
Long-term contracts	Weak	PO / work-order based; no long-term agreements with most customers	No contractual visibility beyond order book
Pricing power	Not demonstrable	Gross margin swung 64% / 39% / 46% across FY24-26; revenue per unit ₹4.31 L / 3.49 L / 4.09 L	Margins too volatile to prove pricing power

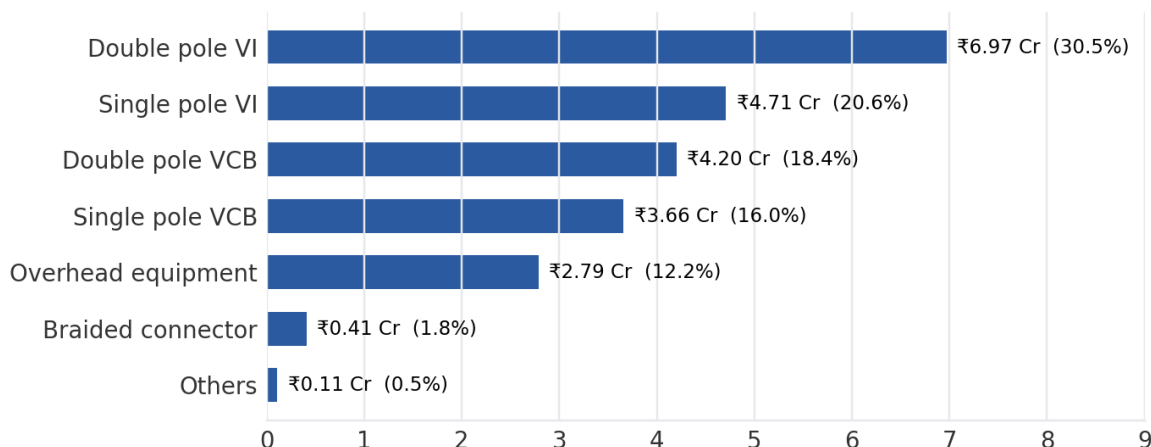
Source: RHP pp. 22, 30-31, 115-117, 123-126, 145-146, 186, 197, 204, 231-232. Revenue per unit = VCB+VI revenue / units produced (analyst calc).

Competitors are not named anywhere in the RHP ("a few established players", p. 124). One competitor is visible from the document itself: M/s Sriwin Electric, a promoter-group firm in which the Chairman is a partner, manufactures medium-voltage switchgear including railway VCBs (web check: sriwinelectric.com) and is also VANS' largest supplier. That overlap is a moat problem, not a moat.

3. Segments / products

Product (₹ Cr, % of revenue)	FY24	FY25	FY26	Nature
Double pole vacuum interrupter	1.17 / 45.13%	4.15 / 30.57%	6.97 / 30.50%	Assembled (TSS)
Single pole vacuum interrupter	0.19 / 7.30%	3.84 / 28.33%	4.71 / 20.61%	Assembled (SP/SSP)
Double pole vacuum circuit breaker	1.03 / 39.62%	4.21 / 31.02%	4.20 / 18.39%	Assembled (TSS)
Single pole vacuum circuit breaker	0.07 / 2.52%	1.30 / 9.60%	3.66 / 16.01%	Assembled (SP/SSP)
Overhead equipment (OHE)	-	-	2.79 / 12.22%	New in FY26; see note below
Braided flexible connector	-	-	0.41 / 1.80%	New in FY26
Others (copper strips, ancillaries)	0.14 / 5.42%	0.06 / 0.47%	0.11 / 0.48%	Ancillary
Total	2.60	13.56	22.84	VCB + VI = 94.6% / 99.5% / 85.5%

FY26 revenue by product



Single-pole vacuum circuit breaker



Double-pole vacuum circuit breaker

Source: RHP pp. 22, 116, 202. Customer type: railway EPC contractors and vendors (B2B 86.76% in FY26) and Indian Railways direct (B2G 13.24%). Customer names are not disclosed.

Overhead equipment: where does it come from?

FY26 OHE revenue of ₹2.79 Cr appeared in the same year VANS booked ₹2.34 Cr of "purchase and other expense" from Atlantic Trade Engineers LLP, a promoter-group LLP (p. 206). Avadh Rail's own brochure describes Atlantic Tradeengineers as the Indian partner of Galland (France) for OHE products (web check). No OHE capacity or production is disclosed in the capacity table (p. 123). Analyst inference: the OHE line is most likely a related-party-sourced traded product booked as "manufacturing activity" (p. 202). If so, implied spread is about ₹0.45 Cr (16%).

Geography and channel mix

Region (% of revenue)	FY24	FY25	FY26	Comment
North	6.47%	16.28%	36.12%	Now the largest region
West	76.77%	68.74%	31.13%	FY24 West = exactly the top-1 customer share (76.77%)
South	3.15%	5.33%	25.61%	Scaled in FY26
Central	9.83%	1.97%	4.31%	
East	3.78%	7.68%	2.83%	
B2G (per Our Business)	19.66%	9.69%	13.24%	Differs from risk factor
Direct railway contracts (per RF 1)	19.66%	9.88%	6.70%	FY26 gap 6.5 pp unexplained
H2 share of annual revenue	97.05%	29.12%	75.33%	Extreme half-year swings

Source: RHP pp. 21, 26, 117-118. All revenue is domestic; exports nil (p. 186).

4. Manufacturing & capacity

Facility	Ownership	Size / utilities	Products	Status
Plots 15, 16, 17, SIDCO Women's Industrial Estate, Karuppur, Salem	Rented from unrelated lessors	Sanctioned load 10 kW; 25 kVA DG set	VCB / VI assembly, testing, QC	Only plant
Corporate office, B-21 Scooter India Ancillary Estate, Lucknow	Sub-leased from a related party (not named)	₹10,000 / month, 11 months from May 22, 2026	Office	Admin

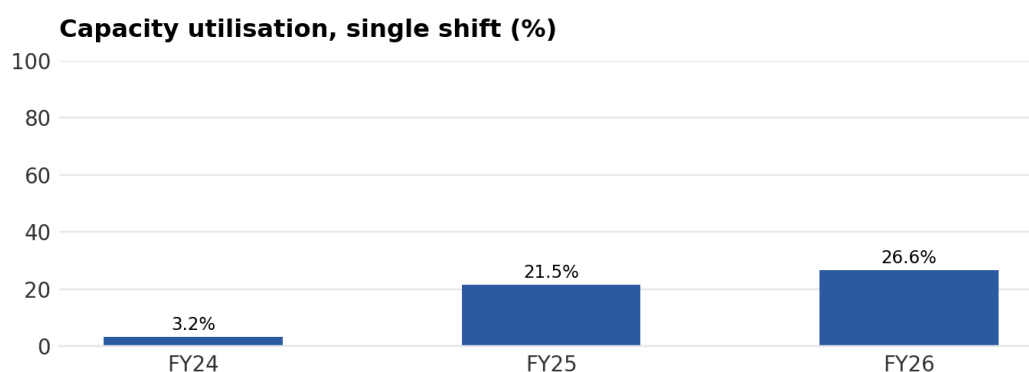
Source: RHP pp. 25, 121, 125-126. Plots 15-16: 11-month rent agreements dated May 21, 2026. Plot 17: 5-year lease deed executed September 16, 2026 (one week before the RHP) with retrospective start June 1, 2026.



Photographs: manufacturing facility at Salem, as shown in the RHP (p. 121). Product images: RHP p. 120.

Product (units)	Installed	FY24 prod / util	FY25 prod / util	FY26 prod / util
Double pole VCB	450	22 / 4.88%	90 / 20.00%	75 / 16.66%
Single pole VCB	450	2 / 0.44%	49 / 10.88%	104 / 23.11%
Double pole VI	450	24 / 5.33%	89 / 19.77%	106 / 23.55%
Single pole VI	450	9 / 2.00%	159 / 35.33%	193 / 42.88%
Total	1,800	57 / 3.2%	387 / 21.5%	478 / 26.6%

Source: RHP pp. 27-28, 123. Capacity is for a single 8-hour shift, certified by Er. Sabariraja Natarajan (July 16, 2026). Total utilisation is analyst calc.



Analyst scale test	Result	Caveat
FY26 VCB + VI revenue / units produced	₹1,953.13 L / 478 = ₹4.09 L per unit	Mix-dependent
Revenue at 100% of single-shift capacity	1,800 x ₹4.09 L = ~₹73.5 Cr	Mechanical ceiling, not guidance
FY27 revenue implied by working-capital plan	~₹70.2 Cr (3.1x FY26)	Back-solved from 94 receivable days
FY28 revenue implied by working-capital plan	~₹95.0 Cr	Would need a second shift

Source: Analyst calculation from RHP pp. 22, 85, 123. Implied FY27 revenue = average FY26-FY27 receivables (₹18.08 Cr) x 365 / 94 days.

Capacity is not the constraint

Utilisation was 26.6% in FY26 on a single shift, and the IPO funds no capex. The constraint is orders and approvals. The RHP itself attributes low utilisation to dependence on railway EPC orders and vendor status (p. 28). The working-capital plan, however, implicitly assumes revenue roughly triples in FY27.

5. Strategy & forward plans

Stated strategy	Grade	Document evidence	Analytical read
Capitalise railway infrastructure demand	Generic	Quotes PIB press releases on 2x25 kV upgrades and OFC works	No order-pipeline breakdown
Invest in R&D (earthing switches, key multipliers)	Early / unfunded	R&D expense ₹0.17 Cr first booked in FY26; 1 product-development employee	No IPO allocation to R&D
Diversify: single-bottle VCB, earthing switches	Concrete but early	CLW approval (Jun-2025), inspection letter (May-2026); ISO scope covers isolators, bushings, PT	No revenue yet
Quality adherence	Generic	ISO 9001:2015 (Bureau Veritas)	Hygiene factor
Infowin Electric (67% subsidiary)	Optionality	MV switchgear for utilities; revenue ₹0.0034 Cr in FY26	Acquired from Bansal promoters Jul-2026; consideration not disclosed
Metro (MMRDA single-pole VCB approval)	Concrete	Approval Mar-2026	Revenue not split out

Source: RHP pp. 118-119, 125, 145-147, 204, 233. No capex, JV or new facility is proposed.

Part 2

Financial analysis

6. Financial trends

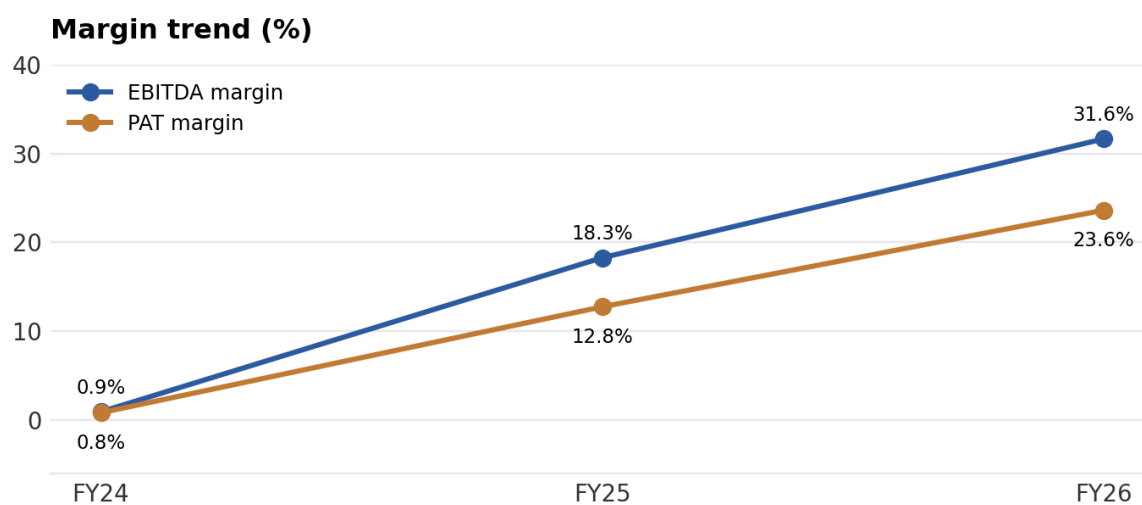
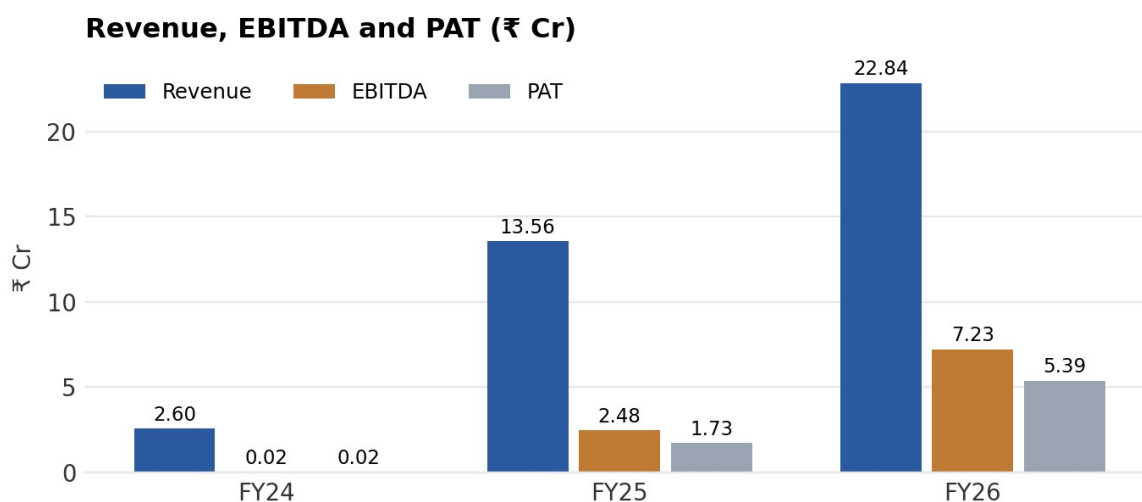
Metric (₹ Cr)	FY24	FY25	FY26	Read-through
Revenue from operations	2.60	13.56	22.84	196.7% CAGR FY24-26
Gross margin	64.13%*	38.90%	45.95%	*FY24 distorted by ₹1.78 Cr FG build
EBITDA (ex other income)	0.02	2.48	7.23	RHP definition
EBITDA margin	0.94%	18.27%	31.63%	+13.4 pp in FY26
Other income	0.17	0.26	0.35	4.8% of FY26 PBT
PAT	0.02	1.73	5.39	+211.8% YoY
PAT margin	0.83%	12.75%	23.61%	
RoE (avg equity, KPI)	2.06%	71.63%	83.27%	On ₹9.17 Cr equity
RoNW (closing equity)	2.04%	45.76%	58.79%	Different denominator
RoCE	2.10%	53.51%	63.96%	
Net worth	1.05	3.78	9.17	No dividend ever paid
Gross debt / equity	4.92x	0.32x	0.28x	All short-term

Source: RHP pp. 33, 55-57, 93, 125, 178, 204, 209. Gross margin and CAGR are analyst calcs (COGS per p. 125).

Condensed balance sheet

₹ Cr (March 31)	2024	2025	2026
Share capital	1.00	2.00	2.00
Reserves & surplus	0.05	1.78	7.17
Net worth	1.05	3.78	9.17
Short-term borrowings	5.17	1.20	2.55
Trade payables	0.31	0.01	3.25
Other liabilities & provisions	0.04	0.35	1.88
Net fixed assets	0.26	0.37	0.44
Inventories	3.14	1.57	2.20
Trade receivables	2.14	0.39	13.14
Cash & bank	0.38	2.46	0.19
Loans, advances & other assets	0.65	0.54	0.88
Total assets	6.57	5.34	16.85

Source: RHP p. 55. Receivables made up 78% of total assets at March 2026 (analyst calc).



Source: RHP p. 93.

6.1 What drove growth and margins?

- FY25 (+422%): approved-vendor upgrades in Mar-2024 and Nov-2024 opened railway EPC orders; single-pole VI and VCB sales scaled from near zero. One customer took 61.6% of revenue.
- FY26 (+68%): single-pole VCB up 181% after RDSO approval, plus new OHE (₹2.79 Cr) and connectors (₹0.41 Cr). Double-pole VCB revenue was flat at ₹4.20 Cr.
- EBITDA margin jump to 31.6% came from gross margin (+7.1 pp) and operating leverage: other expenses fell from 13.3% to 9.0% of revenue and employee cost from 7.4% to 5.4%.
- Volume vs price: units produced rose 23.5% (387 to 478) while VCB + VI revenue rose 44.7%. Revenue per unit rose from ₹3.49 L to ₹4.09 L, so mix / price did more work than volume.

Source: RHP pp. 22, 116, 123, 145, 204, 219-221; ratio arithmetic is analyst calc.

Quality of earnings

No exceptional items are booked and other income is small, so PAT is not inflated by one-off gains. Three softer points: (1) FY24 expensed ₹0.74 Cr of "product license testing" (type testing) that did not recur, flattering the FY24-26 margin trend; (2) 50% of FY26 raw material came from promoter-linked suppliers, so gross margin depends partly on related-party pricing; (3) restated FY26 PAT (₹5.39 Cr) is ₹0.03 Cr higher than audited PAT, mainly from reversing a gratuity catch-up. A 31.6% EBITDA margin for a 33-employee assembler with ₹0.69 Cr of gross block is well above what SME electrical-equipment peers typically report, and should not be capitalised without a normalisation haircut.

Source: RHP pp. 189, 197, 204-206.

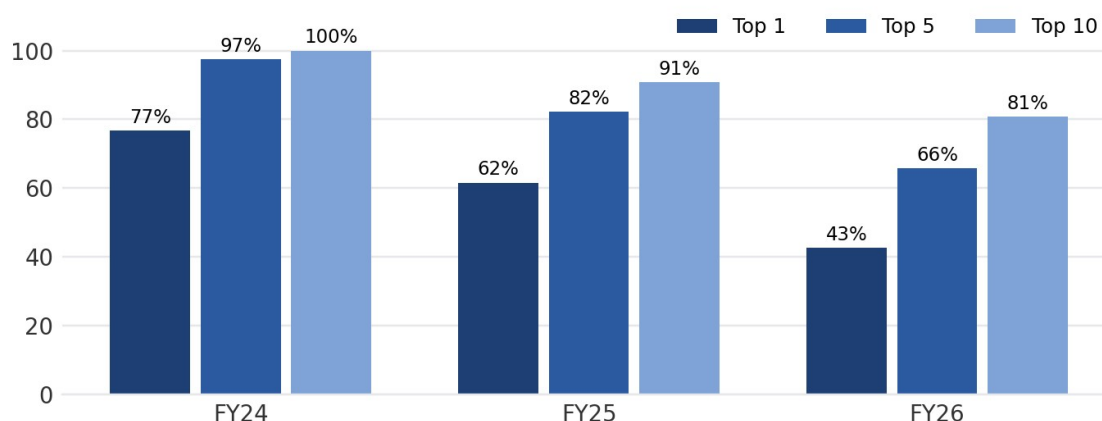
6.2 RoE / RoCE after the issue

Post-issue equity rises to roughly ₹43.2 Cr (₹9.17 Cr + ₹33.98 Cr gross, before issue expenses). On FY26 PAT of ₹5.39 Cr, RoE falls to about 12.5%. The 83% headline RoE is a function of a tiny equity base (₹1 Cr of rights capital in Jan-2025 plus retained earnings), not a durable return level. The 3:1 bonus in June 2026 does not change RoE but cuts reported EPS to ₹6.74.

6.3 Customer concentration

Metric	FY24	FY25	FY26	Comment
Top 1 customer	76.77%	61.60%	42.66%	Improving, still very high
Top 5 customers	97.48%	82.14%	65.74%	
Top 10 customers	100% (8 customers only)	90.76%	80.80%	
Top 1 customer revenue (₹ Cr)	1.99	8.36	9.74	Absolute exposure still rising
Via EPC contractors / vendors	80.34%	90.12%	93.30%	Indirect railway exposure

Customer concentration (% of revenue)



Source: RHP pp. 21-23. Customer names are not disclosed; customer additions / losses by year are not disclosed.

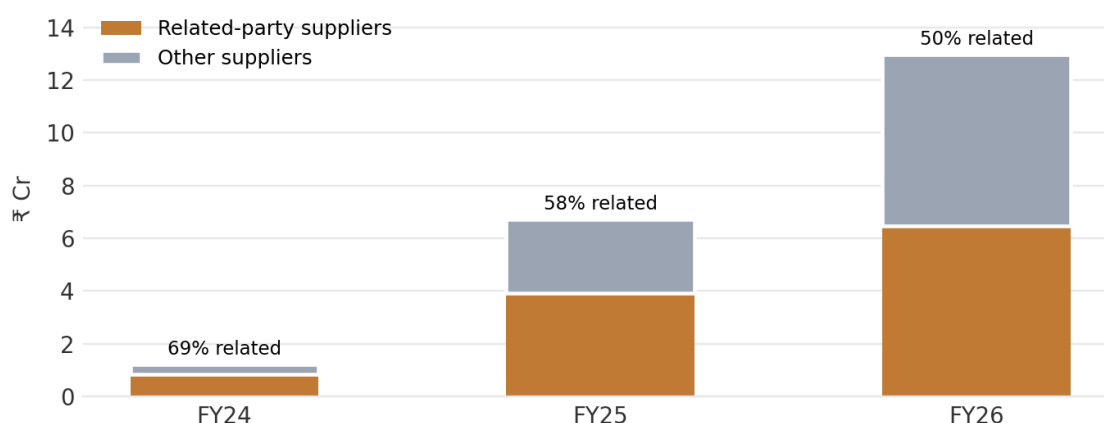
The MD&A states the business "is dependent on any single or a few customers" (p. 222), which is at least consistent with the table. No named customer, repeat-order data or contract tenure is given, so investors cannot judge whether the FY26 top customer is the same entity as in FY24-25.

6.4 Supplier concentration and related-party sourcing

Metric	FY24	FY25	FY26	Comment
Raw-material purchases (₹ Cr)	1.21	6.72	12.97	
Top 1 supplier	64.18%	56.86%	25.24%	
Top 5 suppliers	80.03%	73.49%	57.07%	
Top 10 suppliers	88.55%	82.66%	72.48%	
Purchases from Sriwin Electric (₹ Cr)	0.79	3.84	3.47	Chairman is a partner
Purchases from Atlantic Trade Engineers LLP	0.00	0.01	2.34	Promoter-group LLP
Purchases from Hotspot Infodot (promoter)	-	0.07	0.51 + 0.13 PPE	Corporate promoter
Purchases from Global Switchgear	-	-	0.14	Promoter-group firm
Related-party share of RM purchases	68.6%	58.2%	49.8%	Analyst calc

Source: RHP pp. 24-25, 124, 202, 206. Related-party share = RPT purchases / raw-material purchases (analyst calc; FY24 includes Atlantic Tradelinks ₹0.04 Cr).

Raw-material purchases by source (₹ Cr)



Who is the top supplier?

Sriwin purchases (₹0.79 Cr, ₹3.84 Cr) match the disclosed top-1 supplier (₹0.78 Cr, ₹3.82 Cr) in FY24-25, so Sriwin is almost certainly the top supplier. In FY26, however, RPT purchases from Sriwin (₹3.47 Cr) exceed the disclosed top-1 supplier amount (₹3.27 Cr). Either the supplier table is on a different basis or it is wrong. Top-2 FY26 (₹2.29 Cr) is close to Atlantic (₹2.34 Cr). On this reading, the two largest FY26 suppliers are both promoter-linked.

- **Imports:** CIF imports reported nil in FY24-26 (p. 186). All raw material (insulator assemblies, porcelain insulators, gearbox castings, structures) is bought domestically (p. 124). The RHP identifies no import risk.
- **Hedging / price pass-through:** no long-term supply contracts; prices negotiated per PO (p. 124); no hedging (p. 212). No disclosure on price-variation clauses in customer orders.

6.5 Employees and promoter / KMP pay

Item	FY24	FY25	FY26	Comment
Employee cost (₹ Cr)	0.38	1.00	1.22	+22% in FY26
Year-end headcount	15	26	28 (33 at Aug-26)	1 in product development

Item	FY24	FY25	FY26	Comment
Attrition	6.90%	9.76%	14.81%	Rising
Director remuneration (₹ Cr)	-	0.36	0.36	₹12 L each: Balakrishnan, Viraj, Saraff
Nitin Jain professional fee (₹ Cr)	-	0.12	0.10	Non-executive director
Interest paid to promoters / Hotspot (₹ Cr)	Nil	0.34	0.12	10% on-demand loans
Promoter payouts as % of PAT	-	47.1%	10.8%	Remuneration + fees + interest
Approved post-IPO pay (3 executive directors)			₹0.72 Cr / yr	13.4% of FY26 PAT

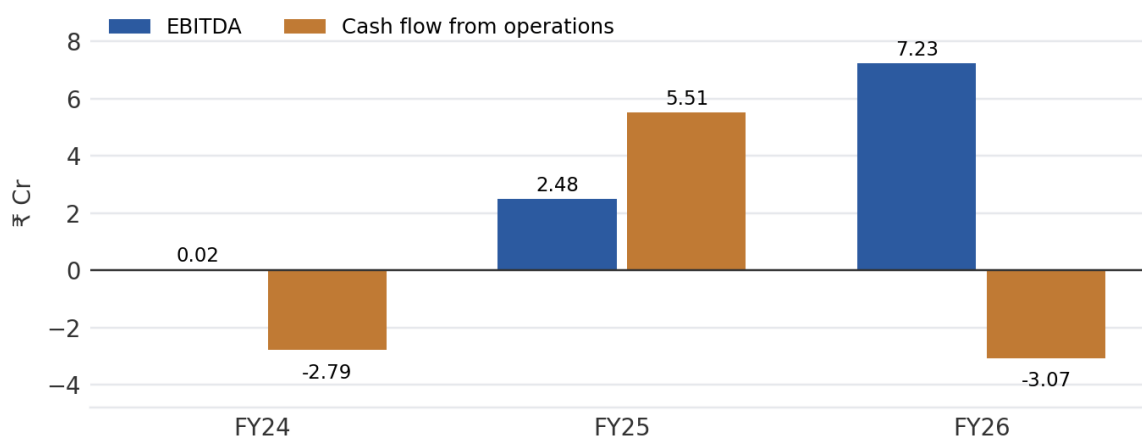
Source: RHP pp. 43-44, 125, 154, 204, 206. PF / ESIC deposits were delayed 9 and 10 times in FY25 (p. 30). No ESOP scheme. Percentages are analyst calc.

7. Cash-flow quality

₹ Cr	FY24	FY25	FY26	3-yr total
EBITDA	0.02	2.48	7.23	9.73
EBITDA margin	0.94%	18.27%	31.63%	
PAT	0.02	1.73	5.39	7.14
Cash flow from operations (CFO)	(2.79)	5.51	(3.07)	(0.35)
CFO / EBITDA	n.m.	2.22x	(0.43)x	(0.04)x
CFO / PAT	n.m.	3.19x	(0.57)x	(0.05)x
Capex	0.06	0.18	0.15	0.39
Free cash flow (CFO - capex)	(2.85)	5.33	(3.22)	(0.74)
Gross debt	5.17	1.20	2.55	
Cash & bank	0.38	2.46	0.19	
Net debt	4.79	(1.26) net cash	2.36	
Net debt / EBITDA	n.m.	Net cash	0.33x	

Source: RHP pp. 57, 179, 193. Ratios and totals are analyst calc.

EBITDA vs operating cash flow (₹ Cr)



Why profit has not become cash

Over three years VANS reported ₹7.14 Cr of PAT and ₹9.73 Cr of EBITDA but generated negative ₹0.35 Cr of operating cash. The RHP blames seasonality: 75.33% of FY26 revenue fell in H2, so ₹13.14 Cr of receivables sat on the March 2026 balance sheet (p. 29). That explanation covers timing but not the pattern: two of three years are cash-negative, and the one positive year (FY25) is the year H1 dominated. More important, FY26 CFO was propped up by a ₹3.24 Cr increase in trade payables, of which ₹2.72 Cr is owed to three related parties. Excluding that related-party credit, FY26 CFO would have been about negative ₹5.79 Cr.

7.1 EBITDA margin vs operating and free cash flow

Year	EBITDA margin	CFO (₹ Cr)	FCF (₹ Cr)	CFO / revenue	Signal
FY24	0.94%	(2.79)	(2.85)	(107.5)%	Start-up build of stock
FY25	18.27%	5.51	5.33	40.6%	Receivables collected, H1-heavy year
FY26	31.63%	(3.07)	(3.22)	(13.5)%	Margin up, cash down

Source: RHP pp. 57, 93. CFO / revenue is analyst calc.

7.2 Working-capital days

Days	FY24	FY25	FY26	FY27P (RHP)	FY28P (RHP)
Receivable days - closing basis (analyst)	300	11	210	-	-
Receivable days - RHP (average basis)	155	34	108	94	99
Inventory days - closing basis (analyst)	1,230	69	65	-	-
Inventory days - RHP	1,175	104	56	64	80
Payable days - closing basis (analyst)	93	1	91	-	-
Payable days - RHP	255	9	46	35	33
Net working-capital cycle (closing)	1,437	79	184	-	-
Receivables % of revenue	82.27%	2.88%	57.53%		

Source: RHP pp. 26, 29, 85. Closing-basis days = closing balance / revenue (or COGS / purchases) x 365 (analyst calc).

Receivables ageing looks clean: ₹13.13 Cr of the ₹13.14 Cr is under six months and only ₹0.02 Cr is 2-3 years old (p. 200). But 76% of FY26 H2 revenue was still uncollected at March 31, and the RHP confirms balances are "subject to confirmation" (p. 211). Payables tell the more important story: ₹2.86 Cr of the ₹2.88 Cr owed to non-MSE creditors is shown as outstanding beyond due date (p. 195), and the two largest creditors (₹2.56 Cr, 78.8% of trade payables) are Atlantic Trade Engineers and Hotspot Infodot (pp. 206, 229).

7.3 Working-capital plan behind the IPO

₹ Cr	FY26 actual	FY27P	FY28P	Change FY26-28
Inventory	2.20	11.08	13.98	6.4x
Trade receivables	13.14	23.01	28.53	2.2x
Loans, advances, other CA	0.85	1.43	1.80	
Trade payables	(3.25)	(5.80)	(4.94)	Payables fall in FY28
Other CL + provisions	(1.79)	(2.01)	(2.18)	
Net working capital	11.15	27.71	37.19	3.3x
Funded by IPO	-	15.00	10.00	₹25.00 Cr by Dec-2027

Source: RHP p. 85, certified by H R H & Associates (Sep 9, 2026). The funding table treats IPO money as a yearly flow while NWC is a stock, so FY28 "internal accruals" of ₹27.19 Cr look overstated by the ₹15 Cr already deployed in FY27 (analyst observation).

What the working-capital plan assumes

Inventory is planned to rise five-fold in one year while payables fall in FY28. The plan only works if FY27 revenue gets to roughly ₹70 Cr, against an order book of ₹50.62 Cr. Management attributes the jump to new products and approvals (p. 87), none of which has yet produced revenue.

7.4 Operating KPIs disclosed

KPI	FY24	FY25	FY26	Comment
Order book (₹ Cr)	Not disclosed	Not disclosed	50.62 (Sep 5, 2026)	No history, no execution schedule
Units produced	57	387	478	Single-shift capacity 1,800
Customers served	8	Not disclosed	Not disclosed	Customer adds / losses not given
Approved-vendor products	2 (Mar-24)	3 (Nov-24)	4 (Mar-26)	All four core SKUs now approved
Tender win rate / bids	Not disclosed	Not disclosed	Not disclosed	No bid-success data
Employees	15	26	28	Attrition 14.8% in FY26

Source: RHP pp. 38, 123, 125, 145-146. KPIs certified by Mundra & Co. (p. 92).

8. Capacity vs capex

No capex is proposed and none is needed on current evidence: FY26 utilisation was 26.6% on one shift. Historic capex was only ₹0.39 Cr over three years and the plant is rented. The IPO is a working-capital raise to fund a planned 3x revenue step-up. That is demand-contingent, not capacity-constrained, and the demand case rests on an order book whose composition, customers and delivery schedule are not disclosed.

9. Valuation @ ₹118 upper band

Metric @ ₹118	Pre-issue	Post-issue	Basis
Market cap (₹ Cr)	94.40	128.38	80.0 L / 108.8 L shares
FY26 EPS (₹)	6.74	4.96	FY26 PAT ₹5.39 Cr
P/E (FY26)	17.5x	23.8x	Price / EPS
Book value per share (₹)	11.46	39.67	Post: incl. ₹33.98 Cr gross proceeds
Price / book	10.3x	3.0x	
EV / FY26 EBITDA	13.4x	13.4x	EV ₹96.76 Cr; proceeds treated as cash
EV / FY26 sales	4.2x	4.2x	

Source: RHP pp. 53, 56, 91-92; analyst calc. Pre-issue EPS is paired only with pre-issue market cap, post-issue EPS only with post-issue market cap.

Reference	Basis	P/E	Comment
RHP peer table	p. 92	None	RHP: "no listed companies ... similar to that of our company"
Accord Transformer & Switchgear (SME)	Issue P/E	11.4x	Transformers / switchgear, not railway VCB
Avana Electrosystems (SME)	Issue P/E	12.4x	Electrical panels
Raksan Transformers (SME)	Issue P/E	13.4x	Transformers
VANS @ ₹118	Post-issue FY26	23.8x	4-year track record, 1 strong year

Source: RHP p. 92; issue P/Es from Chittorgarh "recently listed heavy electrical equipment IPOs" (web check, Sep 29, 2026). Loose context only: none of these is a railway traction switchgear maker.

9.1 Pre-IPO transactions in the last 12 months

Date	Transaction	Counterparty	Price	Implied pre-issue value
Apr 28 - May 4, 2026	3,00,000 pre-bonus shares gifted by Nitin Jain, Balakrishnan, Saraff	Spouses: Mahima Jain, Sakthi, Priyanka Saraff	Nil (gift)	n.a.
Jun 17, 2026	Bonus 3:1 (60,00,000 shares)	All holders	Nil	n.a.
Jun 30 - Jul 9, 2026	20,000 shares sold by 4 founding promoters (5,000 each)	Mayank Modi	₹97	₹77.6 Cr
Sep 19-22, 2026	7,20,000 shares sold by 4 founding promoters (₹8.50 Cr)	Babita Agarwal, Manu Agarwal, Sunita Jain, Naresh Kumar Bhargava	₹118	₹94.4 Cr
Jul 1, 2026	67% of Infowin Electric acquired by VANS	Viraj and Pooja Bansal (sellers)	Not disclosed	n.a.

Source: RHP pp. 73, 76-79, 94, 146-147, 169. Implied value = price x 80,00,000 pre-issue shares (analyst calc). No primary issue in the last 18 months (p. 94).

Part 3

Offer structure

10. Issue structure & use of proceeds

Category	Shares	₹ Cr @ ₹118	% of issue
Market maker (Hem Finlease)	1,46,400	1.73	5.08%
Employee reservation	48,000	0.57	1.67%
QIB (incl. anchor)	13,41,600	15.83	46.58%
of which anchor	8,04,000	9.49	27.92%
Non-institutional	4,03,200	4.76	14.00%
Individual investors	9,40,800	11.10	32.67%
Total fresh issue	28,80,000	33.98	100% fresh OFS nil

Source: RHP pp. 53, 71; rupee values at upper band from Chittorgarh (web check).

Use of proceeds	₹ Cr	% of gross ₹33.98 Cr	Timing
Working capital	25.00	73.6%	₹15.00 Cr FY27, ₹10.00 Cr FY28 (by Dec-2027)
General corporate purposes	Up to 5.10	Up to 15.0%	Capped at lower of 15% or ₹10 Cr

Use of proceeds	₹ Cr	% of gross ₹33.98 Cr	Timing
Issue expenses	Balance (not disclosed)	~11.4% if GCP is at the cap	All [●] in RHP
Capex / debt repayment / acquisition	Nil	0%	-

Source: RHP pp. 83-88. GCP plus issue expenses = ₹8.98 Cr (26.4% of gross) at the upper band (analyst calc). No monitoring agency (issue below ₹50 Cr); proceeds not appraised by any bank (p. 64).

Quality of the offer

The issue is labelled 100% fresh, but promoters sold ₹8.69 Cr of shares privately in the 12 weeks before the RHP (₹0.19 Cr at ₹97 in Jun-Jul, ₹8.50 Cr at ₹118 on Sep 19-22). That is equal to 25.6% of the fresh issue. Their cost is about ₹2.50 per share after bonus (₹10 x 5,00,000 shares each for 20,00,000 post-bonus shares), so the September sales were at 47x cost. Separately, working-capital money will partly settle ₹2.72 Cr of payables owed to promoter-linked suppliers; the RHP only says no proceeds go to promoters "except in the normal course of business" (p. 90).

10.1 Anchor book (web check)

Anchor investor	Shares	₹ Cr	% of anchor	Comment
Mint Focused Growth Fund PCC - Cell 1	3,79,200	4.47	47.16%	Offshore fund (per name); background not verified
India Max Investment Fund Ltd	2,54,400	3.00	31.64%	Offshore fund (per name); background not verified
Hem Growth Opportunities Fund	1,70,400	2.01	21.19%	Name matches BRLM group (Hem Securities)
Total	8,04,000	9.49	100%	No domestic MF or insurer

Source: Chittorgarh anchor list (web check, Sep 28, 2026). Anchor lock-in: 50% for 30 days (to ~Nov 4, 2026), 50% for 90 days (to ~Jan 3, 2027). The Hem link is inferred from the fund name; Hem Securities runs AIF and PMS businesses (web).

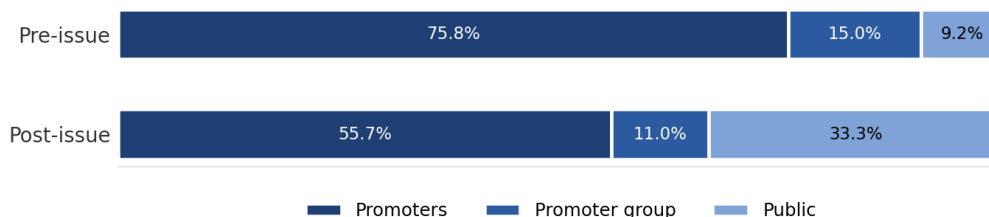
The BRLM (Hem Securities), market maker and syndicate member (Hem Finlease) and one of three anchors appear to sit in the same group. The 40% anchor sub-reservation for domestic mutual funds and insurers (p. 54) attracted no such investor. Retail and HNI demand, not institutional demand, is driving this book.

11. Shareholding & lock-in

Shareholder	Pre-issue shares	Pre %	Post %
Hotspot Infodot Pvt Ltd (Bansal family)	18,15,000	22.69%	16.68%
Abhishek Saraff	16,15,000	20.19%	14.84%
Nitin Jain	16,15,000	20.19%	14.84%
Balakrishnan Srinivasan	10,15,000	12.69%	9.33%
Promoters	60,60,000	75.75%	55.70%
Sakthi (spouse of Balakrishnan)	8,00,000	10.00%	7.35%
Priyanka Saraff / Mahima Jain	2,00,000 each	2.50% each	1.84% each
Promoters + promoter group	72,60,000	90.75%	66.73%
Pre-IPO public (Agarwals, Sunita Jain, Bhargava, Modi)	7,40,000	9.25%	6.80%
IPO allottees	-	-	26.47%

Source: RHP pp. 74-78. Viraj Bansal and Pooja Bansal are named promoters but hold no shares directly; they control Hotspot Infodot (69.60% Pooja, 12.67% Viraj, 17.73% Vikas Bansal HUF) (pp. 77, 167).

Shareholding pattern



Lock-in: 20.59% of post-issue equity (minimum promoter contribution) for 3 years; the balance promoter holding 50% for 1 year and 50% for 2 years; all other pre-IPO shares for 1 year (pp. 79-81). About 38.5 lakh shares (35.4% of post-issue equity) become free after one year. The April-May 2026 gifts moved 12 lakh post-bonus shares from promoters to spouses, who are promoter group rather than promoters. Those shares therefore carry a one-year lock-in instead of the one-to-three-year promoter schedule.

Part 4

Management, board & independent directors

The board has 8 directors: 2 joint managing directors, 1 whole-time director, 2 non-executive promoter directors and 3 independent directors. Two families effectively run the company day to day (Balakrishnan in Salem; the Bansals from Delhi), while two Lucknow-based promoters (Saraff, Jain) sit as non-executive directors with larger listed or legacy businesses of their own.

Source: RHP pp. 150-157.

12. Executive and promoter directors

Director	Role / age	Qualification (institute, year)	Experience: claimed vs "similar line"	Stake / FY26 pay
Balakrishnan Srinivasan	Chairman & Jt MD, 58 On board since Feb-2022	Diploma ECE (SBTE Madras, 1988); B.Sc (Annamalai, 2008); MBA International Business (Annamalai, 2011)	35 years claimed; 35 years similar line. Previous employment: "-" (not disclosed)	12.69% direct + spouse 10.00% ₹12 L
Viraj Bansal	Jt MD, 28 On board since Aug-2024	MSc Engineering Business Mgmt (Warwick, 2021); B.Tech EEE (VIT, 2020)	6 years claimed; only 2 years in similar line (p. 169)	Nil direct (via Hotspot) ₹12 L
Pooja Bansal	WTD, 52 On board since Jun 3, 2026	Not available: B.Sc (~1992) certificates untraceable (RF 39)	20+ years in business administration, trading, procurement	Nil direct (69.6% of Hotspot) Nil
Abhishek Saraff	Non-exec director, 51 Since Feb-2022	MBA (University of Kansas, 2000)	23 years claimed; 4 years similar line (p. 169)	20.19% ₹12 L
Nitin Jain	Non-exec director, 43 Since Feb-2022	B.E. Mechanical (VTU, 2006)	15 years claimed; 4 years similar line (p. 169)	20.19% ₹10 L (professional fee)

Source: RHP pp. 39, 150-155, 162, 169. "Similar line" experience is the RHP's own disclosure in "Experience of Promoters in the line of business" (p. 169).

12.1 Current and past associated companies - promoter directors

Director	Current directorships / interests (RHP)	Past associations & web findings
Balakrishnan Srinivasan	Jayarani Spinning Mills Ltd; Novatrans Pvt Ltd; Prienda Consulting Services Pvt Ltd; partner, M/s Sriwin Electric; 10% shareholder in Infowin Electric	Sriwin Electric (est. 2015) makes MV switchgear incl. railway VCBs at Plots 61 & 73 of the same SIDCO estate (web: sriwinelectric.com). Sriwin is VANS' largest supplier and holds 10% of Infowin.
Viraj Bansal	Avadh Technometals Pvt Ltd; Infowin Electric Pvt Ltd; Ductus Infodot Pvt Ltd	Sold Infowin stake to VANS on Jul 1, 2026 (p. 169). Avadh Technometals is shared with Saraff.
Pooja Bansal	AI MSD Pvt Ltd; Systematic Finance Company Pvt Ltd; Deo Volente Communications Pvt Ltd; Hotspot Infodot Pvt Ltd; Infowin Electric Pvt Ltd; Shri Sidhali Trading Pvt Ltd	Hotspot Infodot trades kraft paper (NI Act cases p. 226); objects widened to VCBs / PMAs on Sep 24, 2025 (p. 167). Hotspot's website credits Vikas Bansal (spouse, not a named promoter) with leading the group since 2005 (web).
Abhishek Saraff	MD, Avadh Rail Infra Ltd (CSE-listed, delisting since Sep-2025); Kamayani Engineering Products; Avadhraj Energy; Atlantic Tradelinks; Emerald Tracon; Radiant Buildcon; S.S. Agencies; Pullman Engineering; Avadh Technometals; Sumo Pullman; Novius Systech; Zoom Construction; Novius Technologies; Tirupati Polysacks; APY Estates; Bihariji Processor; Asiatic Metcast; Madras Elastomers; Primax Industry (19 companies)	Exited Atlantic Tradeengineers LLP (Jul-2025), Subhamoti Finance and Sumo Forge (Feb-2025) (p. 169). IBBI portal shows CIRP against Avadh Rail Infra with insolvency commencement Feb 8, 2018; outcome not shown and not mentioned in the RHP (web). Atlantic Tradelinks' commission claim was held "not genuine" by the tax appellate authority (p. 228).
Nitin Jain	Jt MD, Concord Control Systems Ltd (BSE-listed railway electronics, ~32% holder per web); Drivetrain Solutions; Rangetech Systems; Atlantic Tradelinks; Tee Gee Polymer; Fusion Electronics; Progota India; Concord Lab To Market Innovations	Exited Atlantic Tradeengineers LLP (Jul-2025) and Advanced Rail Controls (amalgamated into Concord, May-2024) (p. 169). Earlier: Wipro (2005-07), partner Shivalik Industries (2007-11), a promoter-group firm (web: RocketReach; p. 172).

Source: RHP pp. 35, 150-153, 167, 169-172, 226-228; web checks labelled.

Our view on management

The technical core rests on one person, Balakrishnan Srinivasan, whose formal engineering qualification is a 1988 diploma and whose own switchgear firm (Sriwin) is both a supplier and a potential competitor. The two largest individual shareholders (Saraff, Jain) are non-executive and run bigger businesses elsewhere; the RHP itself credits them with only 4 years in this line. The executive team outside the Chairman is young: a 28-year-old JMD with 2 years of relevant experience handles sales, finance, SCM and legal together.

13. Independent directors

Independent director	Age / appointed	Qualification & experience	Current directorships	Past associations
Shikhar Gupta (Audit Committee chair)	29 / Jun 3, 2026	CA (ACA since Aug-2019); 6 years in tax, advisory and accounting; ex-Ernst & Young LLP; now with Dharmendra Kumar & Co., CAs	Nil	Ernst & Young LLP (employment). No prior board seats disclosed
Mridusha Havelia	30 / Jun 3, 2026	CA (COP since 2022), LLB (Lucknow Univ, 2023); 4 years; proprietor, M/s Havelia & Associates	Nil	No prior board seats disclosed
Abhishek Mishra (NRC and SRC chair)	30 / Jun 3, 2026	PGDBM Operations (NMIMS, 2021); B.Tech Mechanical & Automation (Amity, 2017); 8 years in manufacturing operations	Q-Line Biotech Ltd; Avionics Safety Pvt Ltd; Avionics Sparrow Pvt Ltd; ARA Cosmetech Pvt Ltd	Q-Line Biotech listed on NSE SME on May 29, 2026; its IPO was also managed by Hem Securities (web: Chittorgarh). Capacity (independent or executive) at Q-Line not verified

Source: RHP pp. 151-153, 157-160; web checks labelled. The RHP discloses current directorships only; past directorships of independent directors are not disclosed.

- All three independent directors were appointed on the same day (June 3, 2026), about seven weeks before DRHP approval, alongside the CFO and CS.
- All three are 29-30 years old and Lucknow-based, the home city of promoters Saraff and Jain and of the new statutory auditor (H R H & Associates, Gomtinagar).
- None has run or overseen a railway, switchgear or listed manufacturing business. Risk factor 47 concedes directors lack listed-company experience.
- No independent director has resigned (all are new). Audit committee: Shikhar Gupta (chair), Mridusha Havelia, Balakrishnan Srinivasan (p. 157).

14. Key managerial personnel and senior management

Name	Role / age	Qualification	Experience / previous employer	Joined
Amisha Bisen	CFO, 28	PGDM (FS), Jaipuria Institute Lucknow (2026); B.Com (Lucknow Univ, 2019)	2+ years; Arakind Health Care Pvt Ltd	Jun 3, 2026
Ashutosh Pandey	CS & Compliance Officer, 30	ACS (2021)	3+ years; Encardio Rite Electronics Pvt Ltd	Jun 3, 2026
Yash Agarwal	Plant Head, 31	B.Com (Marketing Mgmt), Calcutta Univ (2016)	10+ years ops / SCM; Salem Food Products Pvt Ltd	Apr 2, 2024 (₹6.20 L FY26 pay)

Source: RHP pp. 162-164. The RHP links past filing delays to the "absence of a dedicated compliance officer" (p. 31).

Depth of oversight

The CFO completed her PGDM this year and has about two years of work experience; she now signs financials for a listed company whose working capital is set to triple. The plant head of a high-voltage switchgear facility holds a commerce degree. The independent directors are qualified but junior, appointed together just before filing, and one sits on another Hem-managed SME. None of this is irregular, but it means the check on related-party purchases (50% of raw material) rests on a very thin layer of oversight.

Part 5

Related parties & governance

15. Related-party transactions - full map

Counterparty (link)	Nature	FY24	FY25	FY26	Mar-26 balance
M/s Sriwin Electric (Balakrishnan is partner)	Purchases	0.79	3.84	3.47	Advance to supplier 0.45 Dr
	Sales to Sriwin	0.12	0.04	0.65	
Atlantic Trade Engineers LLP (Saraff / Jain exited Jul-2025)	Purchase & other exp.	0.00	0.01	2.34	Payable 2.02 Cr
Hotspot Infodot (corporate promoter)	Purchases + PPE	-	0.07	0.64	Payable 0.54 Cr
	Loan (10%, on demand)	0.88 op / 1.49 cl	0.40 cl	0.65 cl	Interest 0.04 FY26
M/s Global Switchgear (promoter group)	Purchases	-	-	0.14	Payable 0.16 Cr
Nitin Jain	Loan / fee	1.45 cl	0.40 cl	0.65 cl	Fee 0.10; interest 0.04
Abhishek Saraff	Loan / remuneration	1.52 cl	0.40 cl	0.65 cl	Pay 0.12; interest 0.04
Sumo Pullman Pvt Ltd (Saraff group)	Commission paid	-	0.24	-	

Counterparty (link)	Nature	FY24	FY25	FY26	Mar-26 balance
Atlantic Tradelinks Pvt Ltd (Saraff / Jain)	Loan in-out, purchases	0.72 in/out; 0.04	-	-	

Source: RHP pp. 43-44, 59-60, 194, 205-206 (₹ Cr). Interest on promoter loans was nil in FY24 despite ₹4.57 Cr outstanding (p. 206); 10% interest from FY25.

“Our Company has not entered into any Non- compete Agreement as on the date of filing of this Red Herring Prospectus.” (RHP p. 149)

The RHP states group companies have no common pursuits (p. 236), but it only classifies Sumo Pullman and Atlantic Tradelinks as "group companies". The wider promoter-group list includes several same-line businesses that are neither group companies nor bound by a non-compete (table below).

16. Competing promoter entities / non-compete

Entity	Link	Business overlap	Non-compete?
M/s Sriwin Electric	Balakrishnan (partner)	MV switchgear incl. railway VCBs, same estate (web); VANS' top supplier	No
Hotspot Infodot Pvt Ltd	Corporate promoter (Bansals)	Objects include VCBs, PMAs, electrical panels (altered Sep-2025); sells goods to VANS	No
M/s Global Switchgear	Promoter-group firm	Name indicates switchgear; supplies VANS	No
M/s National Breaker Services Technology Center	Promoter-group firm	Name indicates breaker services; no RHP detail	No
M/s Fire Bird Electric	Promoter-group firm	Electrical; no RHP detail	No
Atlantic Trade Engineers LLP	Promoter group (partners exited Jul-2025)	OHE products (Galland partner, web); supplies VANS	No
Infowin Electric Pvt Ltd	67% subsidiary; 33% Balakrishnan family + Sriwin	MV switchgear for utilities; RHP concedes possible overlap (RF 30)	n.a.
Concord Control Systems Ltd	Nitin Jain (Jt MD)	Railway electrical / electronic systems (RDSO vendor); adjacent, not VCB	No
Avadh Rail Infra Ltd	Abhishek Saraff (MD)	Railway rubber / suspension and OHE fittings (web brochure)	No

Source: RHP pp. 36, 149, 150-151, 167, 171-172, 235-236; web checks labelled.

17. Promoter-entity acquisition

Item	Detail
Target	Infowin Electric Pvt Ltd (inc. Nov 20, 2024, Delhi; registered at S-64 Greater Kailash-1)
Stake / date	67% (13,400 of 20,000 shares), w.e.f. July 1, 2026
Sellers	Viraj Bansal and Pooja Bansal (both promoters) (p. 169)
Consideration / valuer / funding	Not disclosed
Target financials	FY26 revenue ₹0.34 lakh; PAT ₹0.06 lakh; net worth ₹2.06 lakh
Remaining 33%	Priyanka Srinivasan 3%, Sakthi 10%, Balakrishnan Srinivasan 10%, Sriwin Electric 10%
Directors	Viraj Bansal, Pooja Bansal

Source: RHP pp. 146-147, 169. At face value the stake would cost about ₹1.34 lakh; the real concern is structure, not price: a listed subsidiary's minority sits with one promoter family and its board with another.

18. Property / title

Property	Owner / lessor	Related?	Terms	Operational importance
Plots 15, 16 (factory), Salem	Unrelated lessors (not named)	No	11-month rent agreements from May 21, 2026	Critical; short tenure
Plot 17 (registered office + factory)	Unrelated lessor	No	5-year lease deed signed Sep 16, 2026, effective Jun 1, 2026	Critical
Corporate office, Lucknow	Related party (name not disclosed)	Yes	₹10,000 / month, 11 months	Admin

Source: RHP pp. 25, 126. No land or building is owned. Plots are in a SIDCO Women's Industrial Estate; eligibility conditions on sub-letting are not discussed.

19. Unrelated subsidiaries

Only Infowin (above). No loans or guarantees to it are disclosed. Loans to related parties were nil in all three years (p. 201).

20. Auditor / CARO

Item	Finding	Comment
Audit qualifications FY24-26	Nil (p. 188)	Clean opinions
Auditor for FY24-25	CA R Balamurugan, Salem proprietor, "Firm Registration No.: NA"; appointed Dec 20, 2023	Resigned Mar 10, 2026 citing professional commitments
Auditor for FY26	H R H & Associates, Lucknow (FRN 031376C); casual vacancy Mar 30, 2026; 5-year term Jun 16, 2026	Changed three weeks before FY26 year-end
Restated financials signed by	Mundra & Co., Jaipur (peer reviewer), engaged Jan 31, 2026	Not the statutory auditor (RF 10)
Audit fees	₹0.50 L / 0.50 L / 1.60 L (statutory + tax audit)	Other consultancy to auditors ₹3.75 L in FY26
Stock-statement vs books	Inventory diff ₹0.26 L; payables diff ₹9.86 L (FY26), ₹29.03 L (FY25)	Minor, reclassification
Balances confirmation	Receivables, payables, borrowings "subject to confirmation" (p. 211)	Standard but notable given RPT share
CARO report text	Not reproduced in the RHP	Audited statements only on company website

Source: RHP pp. 27, 62-63, 67-68, 174-176, 188, 210-213.

21. Statutory and compliance record

Area	Finding	Scale
RoC filings	14 late filings incl. BEN-2 (1,539 days), DPT-3 (992 days), MSME returns (976 days), ADT-1 (234 days); many regularised in Mar-Jul 2026	Systemic
Annual return	Incorrect board-meeting reporting; GNL-1 and revised MGT-7 filed	Corrected
PF / ESIC	PF delayed 9 times, ESIC 10 times in FY25; 12 ESIC delays in FY24	Small amounts
Income tax	Interest on income tax ₹6.61 L in FY26; ₹0.78 Cr tax provision unpaid at Mar-26	Liquidity strain
GST	Goods on Rajasthan-registered vehicle detained (Jan-2025); ₹4.16 L tax + penalty paid under protest	Appeal pending
Statutory dues payable	₹0.90 Cr at Mar-26 vs ₹0.01 Cr a year earlier	Deferred to year-end

Source: RHP pp. 30-31, 196, 204, 225-226.

22. Promoter-group disclosure issues

- Vikas Bansal (spouse of Pooja, father of Viraj) is not a named promoter, although Hotspot Infodot's website credits him with leading the group since 2005 (web) and his HUF holds 17.73% of the corporate promoter (p. 167).

- Avadh Rail Infra's 2018 insolvency admission (IBBI portal, web) is not mentioned; the RHP discusses only its voluntary CSE delisting (RF 27).
- The related-party lessor of the corporate office is not named (p. 126).
- No SEBI exemption requests or untraceable promoter-group members are disclosed.

23. Pre-IPO timing patterns

Date	Action	Comment
Jan 31, 2026	Peer-review auditor (Mundra & Co.) engaged for restatement	IPO preparation begins
Feb 26, 2026	Authorised capital raised from ₹2 Cr to ₹15 Cr	Room for bonus + IPO
Mar 10 / Mar 30, 2026	Statutory auditor resigns; Lucknow firm fills vacancy	Auditor change before year-end
Mar 16 - Jul 3, 2026	Bulk late filing of DPT-3, MSME, BEN-2 forms	Compliance clean-up
Apr 28 - May 4, 2026	3 lakh pre-bonus shares gifted to spouses	Shifts shares to 1-year lock-in bucket
May 6 - 23, 2026	Conversion to public company; new factory rent agreements; related-party office sub-lease	Housekeeping
Jun 3 - 17, 2026	IDs, CFO, CS appointed; Pooja Bansal inducted; 3:1 bonus; committees formed	Board built for listing
Jul 1, 2026	Infowin 67% bought from Bansals	Promoter-entity transfer
Jun 30 - Jul 9, 2026	20,000 shares sold at ₹97	Price discovery
Sep 16, 2026	5-year lease for Plot 17 executed	One week before RHP
Sep 19 - 22, 2026	7.2 lakh shares sold at ₹118 (₹8.50 Cr)	Promoter liquidity at cap price
Sep 23 / 28, 2026	RHP filed; anchor book (21% to Hem Growth Opportunities Fund)	Issue execution

Source: RHP pp. 31, 63, 67, 72-79, 126, 144-146, 150-157, 169; anchor from web check.

What the timeline shows

Most of this is normal listing preparation. Two items are not: promoters monetising ₹8.50 Cr at exactly the cap price four days before the RHP, and a critical factory lease signed one week before it. Both point to an issue that was priced and sequenced around promoter liquidity rather than a business with long-standing institutional structure.

Part 6

Litigation

24. Outstanding litigation

Entity	Type / direction	Cases	Amount (₹ Cr)	Status / nature
Company	Criminal - by / against	0 / 0	Nil	None
Company	Regulatory - against	0	Nil	None
Company	Indirect tax (GST) - company appeal	1	0.04 (paid)	Appeal for refund of ₹4.16 L pending
Company	Material civil	0	Nil	None
Promoter (Hotspot Infodot)	Criminal - BY promoter (NI Act s.138)	3	0.89	vs Swastik Papers (kraft paper dues); next hearing Nov 5, 2026
Promoter (Abhishek Saraff)	Direct tax - against	1	0.05	Intimation u/s 143(1); disputed

Entity	Type / direction	Cases	Amount (₹ Cr)	Status / nature
Directors (non-promoter), KMP, SMP	All	0	Nil	None
Group company (Atlantic Tradelinks)	Direct tax - against	1	0.29	Commission claim held "not genuine"; appeal dismissed Jun-2024
Subsidiary (Infowin)	All	0	Nil	None

Source: RHP pp. 39-40, 225-228. Contingent liabilities: nil in all three years (p. 208).

Our read on litigation

Issuer-level litigation is negligible. The tax finding against Atlantic Tradelinks matters more than its size: a promoter-group company had commission payments disallowed as not genuine, and VANS itself paid ₹24 L of commission to another Saraff-group company (Sumo Pullman) in FY25. The RHP gives no description of what that commission was for.

Part 7

Current issue check

25. Price band & offer status

Item	Finding	Classification	Source
Price band	₹112-118	Web check	Chittorgarh, 5paisa, ETV Bharat
Upper-band post-issue mcap	₹128.38 Cr	Analyst calc	1,08,80,000 x ₹118
Anchor	₹9.49 Cr, Sep 28, 2026; 3 funds	Web check	Chittorgarh anchor letter
Listing	Tentative Oct 7, 2026, BSE SME	Web check	Chittorgarh

26. Material items not disclosed / not yet final

- Customer names, repeat-order history, customer additions and losses.
- Order-book composition, customer split and execution schedule for the ₹50.62 Cr.
- Market size, competitor names and market share for railway VCBs / VIs.
- Consideration and valuation for the Infowin acquisition.
- What the ₹24 L commission to Sumo Pullman (FY25) and ₹9 L of "manpower services" income (FY26) relate to, and counterparties.
- Who paid for KERI (Korea) testing, given nil foreign-currency expenditure.
- Identity of the related-party lessor of the Lucknow office.
- Final issue expenses, GCP amount and post-issue NAV.
- Reconciliation of Sriwin purchases (₹3.47 Cr) with the top-1 supplier figure (₹3.27 Cr) in FY26.

Conclusion

Bottom line

Our view

VANS has a real entry ticket (RDSO / CORE approved-vendor status on four safety-critical SKUs) and a certified order book worth 2.2x FY26 revenue. But the numbers that support the valuation are the least verified: margins sit on a supply chain half-sourced from promoter entities, profits have not turned into cash over three years, one customer is 43% of sales, and the board that is meant to police related-party pricing was assembled in June 2026. Promoters took ₹8.69 Cr off the table privately just before the RHP. At 23.8x post-issue FY26 earnings and 3.0x post-issue book, the issue prices in a sustained 30%+ EBITDA margin and a threefold FY27 revenue jump that the RHP does not evidence.

What looks genuinely strong

- **Approvals complete for the core range:** RDSO approved vendor for DP VCB, DP VI (Mar-2024) and SP VCB (Mar-2026); CORE for SP VI (Nov-2024); MMRDA metro approval; CLW development approval for loco VCBs (pp. 30-31, 145-146).
- **Fits the 2x25 kV upgrade cycle:** double-pole VCBs are required for the auto-transformer feeding system Railways is funding on high-density corridors (pp. 118, 121).
- **Order book visibility:** ₹50.62 Cr as of Sep 5, 2026, auditor-certified, 2.2x FY26 revenue (p. 38).
- **Concentration improving:** top customer down from 76.8% (FY24) to 42.7% (FY26); revenue now spread across North, West and South (pp. 22-23, 117).
- **Light balance sheet:** gross debt ₹2.55 Cr, D/E 0.28x, no long-term debt, no contingent liabilities (pp. 55, 208).
- **Clean issuer record:** no criminal, regulatory or material civil case against the company; no audit qualifications (pp. 188, 225-226); entire issue is primary capital.

Headline flags

High concern

- **Half the supply chain runs through promoter entities, with no non-compete.** Related-party purchases were 68.6% / 58.2% / 49.8% of raw material in FY24-26; Sriwin (Chairman is partner) makes railway VCBs in the same estate; 83.7% of year-end payables are owed to related parties (pp. 124, 149, 206, 229).
- **Three years of profit, no operating cash.** Cumulative CFO -₹0.35 Cr vs ₹9.73 Cr EBITDA; FY26 CFO would be about -₹5.79 Cr without ₹2.72 Cr of related-party supplier credit (pp. 29, 57).
- **Promoters cashed out ₹8.69 Cr just before a 100% fresh issue.** 7.2 lakh shares sold at ₹118 on Sep 19-22 plus 20,000 at ₹97 in July, against a cost of about ₹2.50 per share; equal to 25.6% of the fresh issue (pp. 76-79, 94).
- **One customer is 43% of revenue and none is named.** Top 10 at 80.8%; 93% of revenue via EPC intermediaries; B2G (13.24%) and direct-railway (6.70%) shares for FY26 do not reconcile (pp. 21-23, 118).

Monitor

- **Overhead equipment looks like a related-party pass-through.** ₹2.79 Cr of FY26 OHE revenue, no disclosed capacity, and ₹2.34 Cr bought from an OHE-trading promoter-group LLP (inference; pp. 116, 123, 206).
- **Governance built in weeks.** Auditor changed Mar-2026; restatement by a different firm; IDs (29-30) and a 28-year-old CFO appointed Jun 3, 2026; WTD qualification untraceable; RoC filings up to 1,539 days late (pp. 27, 31, 39, 67, 150-164).
- **Working-capital plan assumes revenue triples.** Implies ~₹70 Cr FY27 revenue against a ₹50.62 Cr order book and 26.6% utilisation (pp. 85-87).
- **Issue ecosystem concentrated in the lead manager's group.** Hem entities are BRLM, market maker and syndicate member; Hem Growth Opportunities Fund took 21% of the anchor book; no mutual fund or insurer (pp. 62-63, 68; web).
- **Valuation.** 23.8x post-issue FY26 P/E vs 11-14x for recent SME electrical IPOs, on one strong year.

Disclaimer: independent analysis of public documents for research and educational purposes; not investment advice, a solicitation or a rating. Figures from the RHP dated September 23, 2026 unless labelled as web check or analyst calculation. No Recommendation.